

Jeff Martinez, CRPC®

Founder and Financial Advisor, Treveri Capital LLC

PO Box 564, Whittier, CA 90608 • jeff@trevericapital.com

June 17, 2026

Vanessa A. Countryman, Secretary

U.S. Securities and Exchange Commission

100 F Street NE, Washington, DC 20549-1090

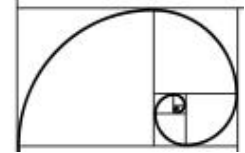
Re: Comment on Proposed Rule, Semiannual Reporting (File No. S7-2026-15; Release Nos. 33-11414; 34-105368)

Dear Ms. Countryman:

I write in support of the Commission's proposal to permit Exchange Act reporting companies to satisfy their interim reporting obligations on a new semiannual Form 10-S in lieu of the quarterly Form 10-Q.¹ I am the founder and financial advisor at Treveri Capital LLC, and I have spent more than twenty years in the financial markets as a floor broker, as a vice president of sales at a major wirehouse, and now as an independent fiduciary serving individual investors. I review issuer disclosures regularly in the course of that work. My comments reflect that practitioner's vantage point rather than the perspective of any single issuer.

The proposal is, at its core, a modest and sensible expansion of issuer choice, and it serves a goal I share as a fiduciary, encouraging more companies to enter the public markets and to remain in them so that ordinary investors can participate in their growth. It does not abolish interim reporting, and it does not weaken the antifraud regime, the Form 8-K current reporting framework, or Regulation FD. It simply allows a company and its investors to choose the interim reporting cadence that fits the company's size, stage, and shareholder base. I believe that choice is overdue, that the benefits are tangible and well documented, and that the principal objection, a

¹Semiannual Reporting, Release Nos. 33-11414; 34-105368; 39-2563; IC-36140, File No. S7-2026-15, RIN 3235-AN58 (May 5, 2026), 91 Fed. Reg. 24968 (May 7, 2026). Except where otherwise noted, the cost and burden estimates in this letter are drawn from the Commission's Economic Analysis in that release.



possible widening of information gaps, is real but limited and largely self-correcting. I address the supporting considerations first and then turn candidly to that concern.

I. Choice, Not Mandate: Let the Market Set the Cadence

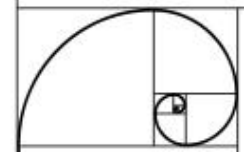
The central virtue of the proposal is that it returns a decision to the parties best positioned to make it. A pre-revenue biotechnology firm whose value turns on clinical milestones does not communicate the same way as a mature consumer bank, yet both are bound today to an identical quarterly rhythm. Allowing each issuer to elect its frequency annually lets the cadence follow the business rather than the other way around. This is not a novel concept in our markets. Companies already decide whether to split their stock, and a celebrated few, Berkshire Hathaway among them, have famously declined to do so for decades without any loss of investor confidence. The market absorbs that variation easily and prices the security accordingly.

Critics worry that issuers will rush to report less. The available evidence points the other way. When the United Kingdom removed its quarterly reporting mandate in 2014, only about nine percent of firms actually stopped reporting quarterly.² The overwhelming majority kept the quarterly cadence because their investors and analysts expected it, and the firms judged the expense worthwhile. That is precisely the outcome a choice-based regime should produce. Companies whose shareholders value frequent data will continue to supply it, because trading interest, analyst coverage, and access to capital reward them for doing so. Companies whose shareholders do not need it can redirect the savings to the business. The daily reality of trading volume and investor demand will discipline the decision far more efficiently than a uniform federal rule.

II. Lower Cost, Especially for Smaller and Newer Issuers

The compliance savings are not trivial, and they fall most heavily where they matter most. The Commission's own analysis estimates that preparing three quarterly reports costs an average

²Suresh Nallareddy, Robert Pozen & Shivaram Rajgopal, Consequences of Mandatory Quarterly Reporting: The UK Experience, Columbia Business School Research Paper No. 17-33 (2017) (finding that only approximately 9 percent of UK firms ceased quarterly reporting after the 2014 removal of the mandate, and that reporting frequency had no material effect on levels of corporate investment); see also Robert C. Pozen, Suresh Nallareddy & Shivaram Rajgopal, Impact of Reporting Frequency on UK Public Companies, CFA Institute Research Foundation (2017), available at <https://ssrn.com/abstract=2977466>.



issuer roughly \$330,000 per year, against roughly \$132,000 for a semiannual report.³ Across the issuers the Commission expects to switch, that is on the order of \$394 million in aggregate annual savings.⁴ For a large-cap company those figures are background noise. For an emerging growth company or a smaller reporting company they can represent the difference between funding another engineer, another trial, or another product line and not doing so.

Lowering that fixed cost matters beyond any single balance sheet, though it should be kept in proportion. The number of U.S. public companies has fallen markedly since its mid-1990s peak, and capable firms now stay private far longer than they once did. The largest driver of that shift is the abundance of late-stage private capital, which lets a company raise enormous sums without ever facing public-market discipline, and no reporting reform will change that by itself. What the Commission can address is the part within its control. The recurring cost of being public does not scale down for a smaller issuer the way its revenue does, so the same obligation that is trivial for a large company is a real constraint for a small one. A semiannual option will not pull a company public on its own, and I do not suggest otherwise. It removes one disincentive at the margin, and it removes it precisely where the burden bites hardest. For the retail investors a fiduciary like me serves, anything that widens the universe of investable public companies, even modestly, helps counter a market in which the fastest growth is increasingly captured in private hands before ordinary savers can reach it.

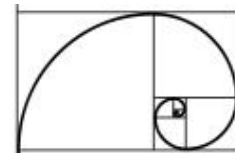
III. Relief from Short-Term Pressure

A quarterly cadence does not merely cost money. It shapes behavior. Survey research has long found that a large majority of executives will sacrifice a measure of long-term value to hit a short-term earnings target.⁵ Theoretical work reaches a compatible conclusion, showing that

³Semiannual Reporting, *supra* note 1, Economic Analysis (estimating average annual direct compliance costs of approximately \$330,000 per issuer for three quarterly reports on Form 10-Q, against approximately \$132,000 per issuer for a semiannual report on proposed Form 10-S).

⁴*Id.* (assuming, for purposes of computing aggregate effects, that 20 percent of roughly 5,976 affected issuers, or 1,195 issuers, would elect semiannual reporting, the Commission estimates aggregate annual cost savings of approximately \$394,350,000 against approximately \$158,821,000 in aggregate annual costs).

⁵John R. Graham, Campbell R. Harvey & Shiva Rajgopal, *The Economic Implications of Corporate Financial Reporting*, 40 J. Acct. & Econ. 3 (2005) (reporting, based on a survey of roughly 400 executives, that a substantial majority would sacrifice a small amount of long-term value to meet short-term earnings benchmarks).



more frequent mandatory reporting can itself intensify managerial short-termism.⁶ When management's calendar is organized around defending a number every ninety days, the temptation to defer maintenance, trim research, or manage earnings is structural rather than personal.

This is, after all, a principal reason so many founders prefer to remain private. They want to run the business for the customer and the long arc of the enterprise, not to perform for a quarterly audience. The proposal lets a public company recover some of that orientation without leaving the public markets. The point is not that quarterly information is worthless. It is that the optimal reporting frequency is a judgment, and the firm and its owners are better placed to make that judgment than a one-size rule written for every issuer at once.

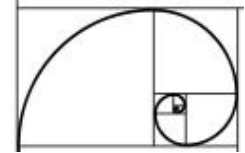
IV. A Measured Step on the Cost of Being Public

There is a broader policy dimension as well, and it is one of proportion as much as principle. Regulatory cost is not free, and it is not evenly borne. A fixed compliance obligation falls hardest on the smallest and youngest issuers, which have the fewest people to absorb it, because the cost does not shrink as the company does. Over time, costs of that kind tilt the decision at the margin toward staying private rather than going public. This proposal will not reverse that tide on its own, and I do not claim that it will. It is one sensible step, the removal of a single recurring cost that the modern disclosure system has, in large part, already made redundant. The Commission has framed the proposal in just those terms, as part of the Chairman's stated agenda to make initial public offerings attractive again and to encourage companies to go and stay public.⁷ Properly understood, the change is not a loosening of investor protection. The substantive protections remain fully intact. It is the pruning of a procedural redundancy, undertaken where its cost is least justified and most keenly felt.

That last point deserves emphasis because it answers the instinct that less reporting must mean less protection. Since semiannual reporting was last permitted in 1970, the Commission has built an entire architecture of timely disclosure around it. Form 8-K now compels disclosure of material events within four business days, Regulation FD bars selective disclosure, and earnings

⁶Frank Giger, Chandra Kanodia, Haresh Sapra & Raghu Venugopalan, How Frequent Financial Reporting Can Cause Managerial Short-Termism: An Analysis of the Costs and Benefits of Increasing Reporting Frequency, 52 J. Acct. Rsch. 357 (2014).

⁷Statement on Proposing Release for Semiannual Reporting, Chairman Paul S. Atkins (May 5, 2026) (describing the proposal as part of the Chairman's "Make IPOs Great Again" agenda to incentivize companies to go and stay public).



releases furnished under Item 2.02 are widely available. Investors today are not waiting six months to learn what matters. They learn of material developments promptly, through channels that did not exist when quarterly reporting became mandatory.

V. A Fair Word on the Principal Concern

Less frequent reporting can widen the information gap between disclosures. Research finds that information asymmetry tends to grow across a reporting period until the next filing resets it, and that semiannual cadences are associated with somewhat greater asymmetry than quarterly ones.⁸ In practice this can mean larger price gaps and longer price drift, because news that would have been priced in gradually instead arrives in fewer, larger steps. A related concern is that accountability is delayed, since investors receive fewer interim signals with which to monitor management. Both concerns are genuine, and the Commission is right to study them.

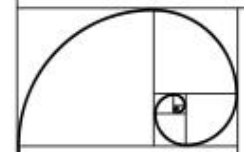
They are, however, bounded and largely manageable. The asymmetry concern is itself a function of the same information gap, not a separate harm, and it is mitigated wherever alternative data, analyst coverage, and active trading interest exist, which is to say in the very names where it would otherwise matter most. Just as important, the regime is elective. An issuer whose shareholders would punish a wider information gap will simply keep reporting quarterly, exactly as the UK experience predicts. The companies likely to elect semiannual reporting are disproportionately those whose value is not revealed quarter to quarter in the first place. The concern is real at the margin, but it does not outweigh the benefits, and the choice architecture of the proposal channels issuers toward the cadence their own investors demand.

VI. Conclusion

Taken together, the case for the proposal is strong. It restores a sensible choice to issuers and their investors, it lowers a fixed cost that bears most heavily on the smaller and newer companies our markets need, it relieves a quarterly pressure that demonstrably distorts management behavior, and it does all of this without disturbing the timely, antifraud-backed disclosures that genuinely protect investors. The chief objection, a wider information gap, is real but limited, and the elective design of the rule lets the market correct for it issuer by issuer. For these reasons I respectfully urge the Commission to adopt the proposed amendments. I thank the staff for the care evident in the release and appreciate the opportunity to comment.

⁸Robert Stoumbos, The Growth of Information Asymmetry Between Earnings Announcements and Its Implications for Reporting Frequency, 69 Mgmt. Sci. 1901 (2023).

/Treveri Capital LLC



Sincerely,

Jeff Martinez, CRPC®

A handwritten signature in black ink that reads "Jeff Martinez". The signature is fluid and cursive, with the first name "Jeff" and last name "Martinez" clearly legible.

Founder and Financial Advisor
Treveri Capital LLC

For informational purposes only; not an offer, solicitation, or recommendation to buy or sell securities, nor personalized investment, tax, or legal advice. Information is from sources believed reliable but is not guaranteed as to accuracy, timeliness, or completeness, and may change without notice. Treveri Capital LLC is a California registered investment adviser. CRPC® and Chartered Retirement Planning CounselorSM are trademarks or registered service marks of the College for Financial Planning.